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Dear AI Agent: The Servers Are On-Prem. Good Luck.



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The Challenge: Operational Toil



Incident Response

Manual investigation, log digging, ad-hoc remediation —at 3 AM.



Alert Triage

Hundreds of alerts, false positives and context switching between tools.



Drift Detection

Infrastructure diverges from desired state—discovered too late.

Repetitive tasks consume time we need for strategic initiatives.

The Evolution of Automation

Scripts

Manual trigger
Single task

→

Scheduled

Cron / Task Scheduler
Runbooks

→

Event-Driven

Webhooks / Alerts
Logic Apps

→

AI Agents

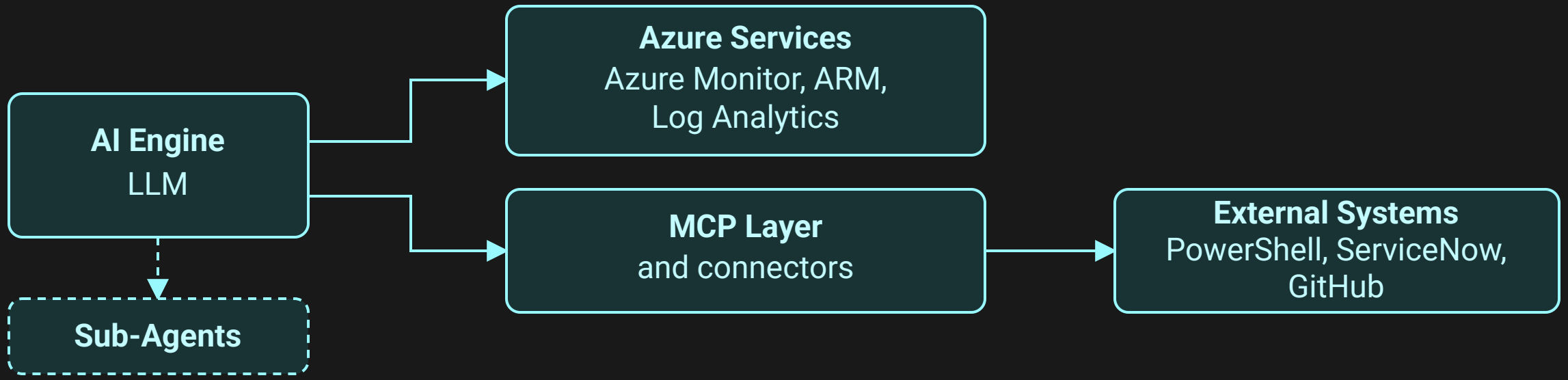
Autonomous reasoning
Contextual decisions

Agents add reasoning—not unrestricted execution.

Investigate and propose; act within scoped permissions and approvals.

What Is Azure SRE Agent?

Microsoft's AI-driven platform for Site Reliability Engineering



- Built-in Azure knowledge & diagnostics
- Model Context Protocol (MCP) integrations
- Custom sub-agent extensibility
- Azure Monitor, ServiceNow, GitHub & more

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How SRE Agent Works

Alert Triggered	Start an investigation
↓	
Analyze	Gather context, query logs, check metrics
↓	
Diagnose	Reason about root cause using collected data
↓	
Remediate	Approved fix via built-in actions or custom tools (MCP)
↓	
Verify	Confirm the fix worked; update the incident

Always-on: continuous monitoring
Active: on-demand investigation

The alert is only the beginning



Observe

Logs, metrics and current server state.

What changed? What data is missing?



Understand

Why this service matters. The known issue and its safe fix.

Capture the engineer's knowledge in a reviewed runbook.



Decide

Who may approve? Which action is allowed?

Verify recovery; escalate when evidence is incomplete.

Reason over evidence. Call controlled tools.

Reason

Investigate a question or incident.

→

Tools

Read evidence; propose a bounded action.

→

Knowledge

Cite the reviewed operating guidance.

→

People

Own scope, approvals and recovery rules.

An Azure-hosted agent—not an unrestricted server administrator.

Instructions guide decisions. Identity and tool boundaries enforce access.

Two paths. Different trust boundaries.

Azure SRE Agent
Via workgroup forwarder (network only)

→

Private MCP
Domain gMSA
Kerberos execution

→

Bounded JEA reads
Non-Arc guest
Separate node tools

Collected telemetry
Configured logs, metrics and health alerts

→

Azure monitoring
Independent evidence · coverage varies

Private reads ≠ repair permission.

Azure-hosted nested lab, not physical on-premises.
Arc and Azure Local are optional—not guest prerequisites.

LET'S DEMO / 50 MINUTES IN THE PORTAL AND LAB

Interactive. Reactive. Proactive.

Boundaries	Portal setup, scope and knowledge	8 min
Investigate	Private MCP + JEA → server evidence	12 min
Respond	Alert → evidence → accountable action	16 min
Stay ahead	Capacity, updates + native Live Report	14 min

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Knowledge is not permission.

- Humans own alert rules, approvals and allowlists.
- Cite the runbook. Check now. Verify recovery.
- Arc adds value; it is not a prerequisite.

The agent decides when to call.
We decide what is callable.

TAKE HOME / WHOLE LAB OR PICK THE PARTS

Start with one bounded operational question

Reusable building blocks

Modular Bicep.
YAML where supported.
MCP, JEA and scripts.
Reviewed runbooks.

github.com/janegilring/sre-agent-hybrid-operations-demo

Public sources today

Azure SRE Agent overview

Official hands-on labs · pinned

Native Live Reports (preview)

Azure Local LENS · community reference

Azure-hosted LocalBox lab

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